

Equity Strategy

Stay bullish on equities; Cyclical are rallying past Low Vol stocks again

- We **remain positive on stocks**, countering numerous concerns, ranging from geopolitics to inflation fears, concentration risk, cycle direction, bond market selloff and other considerations. We believed equity indices should be making fresh all-time highs in 2H - [see report](#), and **look for further upside**.
- Beneath the surface, we advocated for a rotation and broadening in the past 2 months. We think participation should pick up further in 2H, even as **we called in the past two weeks for momentum trade and Semis in particular to show a recovery**. The derisking in the Tech space potentially was overdone short term, and as earnings are continuing to deliver strongly, this should lead to a rebuild of positions. Having said that, we do not expect Tech to be a clear winner in 2H, unlike what transpired last summer. This is both in terms of a sustainability of a bounce, and magnitude. Increased volatility seems here to stay, and profitability concerns are likely to keep coming back from time to time.
- We continue to see big differences to 2022, we don't expect much inflationary pressure to materialize, and believe central banks won't need to become increasingly more aggressive. Labour market backdrop is mixed, we continue to highlight a range of datapoints suggesting sentiment over jobs is soft. This in turn could lead to **"bad is good" equities reaction, as it negates the need for the Fed to worry about overheating**. The wild card is if Fed gets an opportunity to turn meaningfully more dovish, which would have big implications for USD, bond yields and the shape of the yield curve. **If USD is weaker, equities in general and International stocks in particular benefit**.
- **Our view was that the Q2 reporting season would be reassuring for equities**, which acts to stabilize the fallout from the momentum unwind. The proportion of stocks beating in Q2 is materially up vs typical, with both US and Europe printing 20%+ yoy EPS growth rates. Interestingly, Mag-7 EPS growth, ex one-offs, dipped into negative territory vs the rest, for the first time since 2022. This should aid our market broadening call.
- Finally, while we started the year long Cyclical - see our [Year Ahead](#), **two months ago we had called for some consolidation in beta, and for Low Vol group to bounce** - [see report](#). Our view at the time was that the Defensives recovery, including Healthcare and Staples, was likely to be only tactical, to last for a few weeks, and not to spill over into 2H.
- We continue to believe this to be the case, and **have most recently called for beta to resume rallying** - see our [August Chartbook](#). **If the macro outlook we envisaged for 2H keeps gaining traction, that should be supportive for further equity upside, but also for more of a high beta outperformance, rather than Low Vol type of a leadership**. We note Low Vol groups have rolled over again, with **Healthcare and Staples trading down recently**.
- Strong earnings uplift for Cyclical is a support, in addition to most activity indicators moving higher, such as PMIs, ISM, CESIs. Certain labour indicators are an exception, but as stated above, we see this as a positive for risk taking. The nascent **yield curve steepening would also help Cyclical**, and softer USD could play a role, too. Within Cyclical, we have recently highlighted Banks, Mining - bottom chart, Industrials, and Consumer Cyclical as attractive. This is in addition to a likely stabilization in the Semis trade.

Equity Strategy

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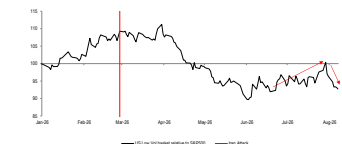
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Low Vol stocks had a few weeks in the sun, as we hoped for around the mid point of the year... yet, we believed that they will not be able to mount a sustained rally... indeed, Low Vol are rolling over again, back toward lows...



...we look for Cyclical to resume leading in 2H, on stronger earnings delivery...



...the recently reopened gap between Miners and metal prices is an opportunity, and should close



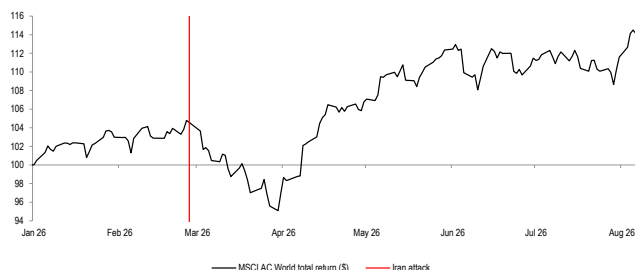
Source: J.P. Morgan, Bloomberg Finance L.P., Datastream

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Stay bullish on equities; Cyclicals are rallying past Low Vol stocks again

Figure 1: MSCI AC World ytd

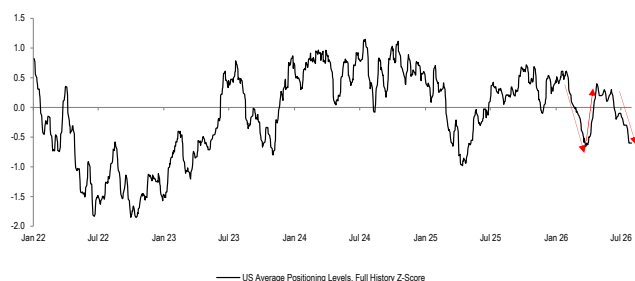


Source: Datastream

Global equities have remained remarkably resilient through repeated geopolitical shocks this year. The MSCI AC World index is up approximately 14% ytd in total return terms, having recovered fully from the March / April drawdown, triggered by the Iran conflict escalation. Successive episodes have produced smaller peak-to-trough moves, consistent with markets treating the geopolitical risk as transitory rather than structural.

We believe equity indices should be making fresh all-time highs in 2H, and look for further upside from here. The concerns are numerous, ranging from geopolitics to inflation fears, concentration risk, cycle direction and bond market selloffs among other considerations, but the market's ability to absorb each of these shocks and recover quickly speaks to the fundamental earnings support and positioning which still remains far from extreme.

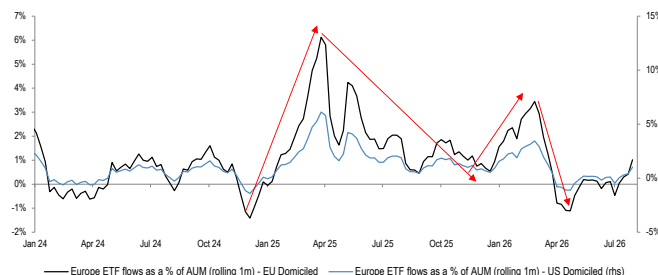
Figure 2: US Tactical Positioning Monitor



Source: JPM Flows & Positioning

Equity positioning is far from exuberant, in our view. This counters the narrative that equities are universally over-owned, even as indices trade near all-time highs.

Figure 3: Europe ETF flows % of AUM



Source: EPFR

Flows into Europe have recovered recently, but remain subdued in a multi-year context.

We believe this positioning backdrop is conducive to further gains. The market is less vulnerable to mechanical deleveraging shocks, and earnings beats are more likely to translate into net buying rather than profit taking.

Table 1: Eurozone and UK EPS growth expectations

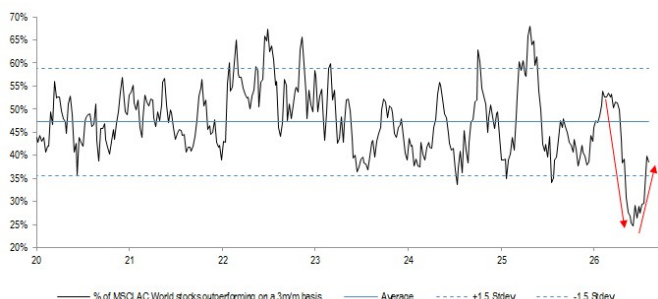
	EPS growth (JPM)		EPS growth (Consensus)	
	'26	'27	'26	'27
Eurozone	18%	12%	21%	13%
UK	18%	5%	18%	8%

Source: IBES, J.P.Morgan

We have recently upgraded our targets for European indices, underpinned by a combination of strong earnings delivery, improving breadth, and the prospect of easing financial conditions.

Rotation and broadening trades are gaining momentum

Figure 4: % of MSCI AC World stocks outperforming on a 3mm basis



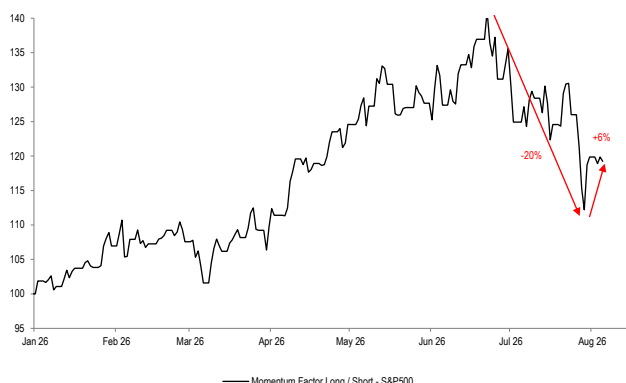
Source: Datastream

Market breadth had fallen to exceptionally narrow levels earlier this year, with only about 25% of MSCI AC World constituents outperforming the index on a 3 month trailing basis at the recent low. However, the more recent stabilization, with the breadth measure just below 40%, suggests the market is transitioning into a broader advance rather than continuing to depend on a small set of mega cap winners.

We [advocated](#) for rotation and broadening over the past couple of months and think participation should pick up further

in 2H. If breadth continues to normalize, index-level performance could be sustained even as prior leaders consolidate, as marginal demand rotates into laggards rather than leaving the asset class entirely.

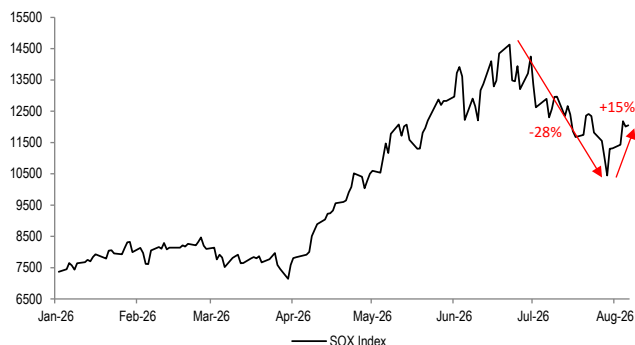
Figure 5: Momentum Factor Long/Short - S&P500



Source: Bloomberg Finance L.P.

The momentum factor had given back a material portion of its year-to-date gains, declining approximately 20% from peak levels reached in May.

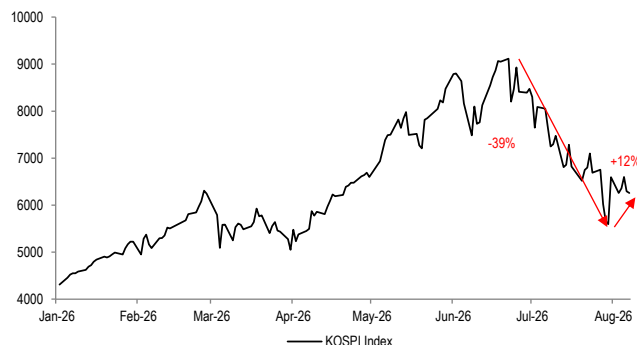
Figure 6: SOX Index ytd



Source: Bloomberg Finance L.P.

At its recent lows, the SOX index had fallen almost 30% from its highs, and the 14 day RSI was close to oversold territory. The index has also breached its 100-day moving average to the downside.

Figure 7: KOSPI ytd

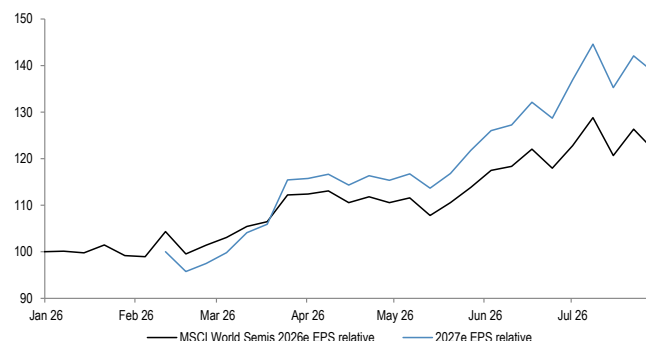


Source: Bloomberg Finance L.P.

Korea had been among the hardest hit markets during the momentum unwind, with the KOSPI declining approximately 40% from its highs. The index is heavily weighted toward memory semiconductors and technology hardware, making it a high beta expression of the global AI and compute cycle.

We see the current dislocation as a tactical opportunity to add exposure. The EM memory trade has legs, as meaningful supply additions are not coming before the start of 2028, and the violent nature of the selloff has pushed valuations to levels that already discount a significant demand slowdown that we do not see materializing in the fundamental data.

Figure 8: MSCI World Semis 2026e and 2027e EPS relative



Source: IBES

Semiconductor earnings momentum is still strong, AI capex plans are being confirmed, and memory pricing dynamics remain constructive. What has changed is not the earnings outlook but the positioning, which has been forcibly de-risked, creating an entry point, in our opinion. We stay overweight EM equities, and see both SOX and KOSPI as beneficiaries of the stabilization and tactical recovery we expect over the coming weeks.

Figure 9: Mag-7 12m Fwd P/E relative

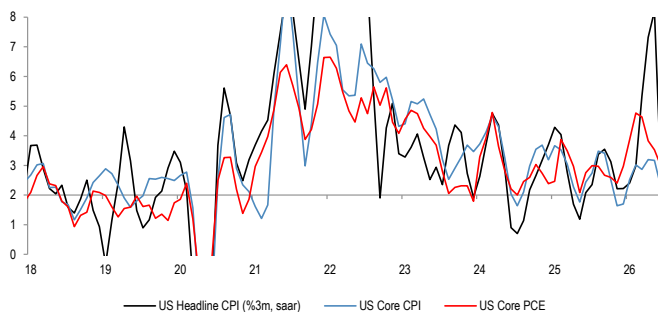


Source: IBES

The Mag 7 relative valuation has also compressed to its cheapest level in approximately 10 years on the forward P/E metric.

Inflation could be a near-term concern, but we see material differences to 2022

Figure 10: US Headline CPI, Core CPI and Core PCE



Source: J.P. Morgan.

Inflation prints have begun to peak out in the latest data, surprising to the downside in the June reading. Core measures are also easing, with core PCE tracking below 3% annualized on recent sequential prints.

Table 2: Pre Iran Conflict vs Russia Ukraine (2022)

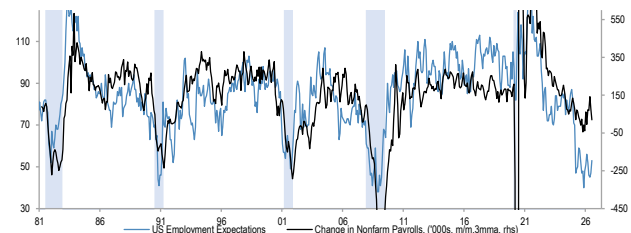
Category	Pre - Iran Conflict	2022
US CPI	Deaccelerating (3.3% currently)	Elevated and accelerating (9.1% at the peak in June '22)
US Core CPI	Deaccelerating (2.6% currently)	Elevated and accelerating (6.6% at the peak in June '22)
Wage Growth	Deaccelerating	Elevated and accelerating
ISM Manufacturing	52.7 (3 Year High, Improving)	57.4 (Falling)
Eurozone Gas Prices move at peak	108%	389%
Strategic Reserve Response	400 million barrel	182.7 million barrel
ECB Policy Rate	Hold at 2%	Start hiking from -0.5%
Fed Policy Rate	Hold at 3.75%	Start hiking from 0.25%

Source: Bloomberg Finance L.P.

We continue to see big differences to 2022, and do not expect much inflationary pressure to materialize. In that prior episode, inflation was accelerating, expectations were de-anchoring, and central banks were forced into an aggressive tightening cycle that crushed equity multiples. Today, inflation is rolling rather than re-accelerating, wage growth is moving lower, and corporates are unlikely to exhibit sustained pricing

power, with AI anxiety an overhang on sentiment in labour markets as well.

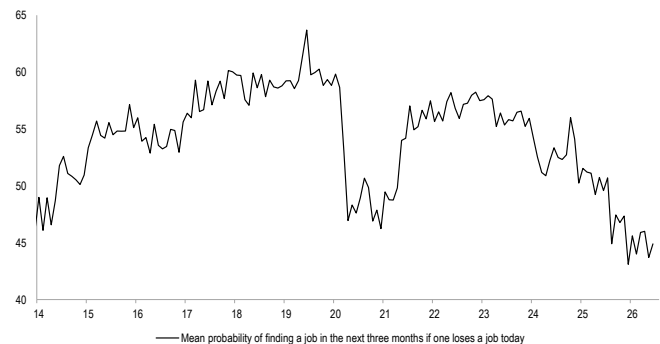
Figure 11: US Employment Expectations and Nonfarm Payrolls



Source: Bloomberg Finance L.P.

Last week's payrolls report has re-ignited the debate on the health of the labour market. We believe central banks will not need to become increasingly more aggressive and could even surprise on the dovish side.

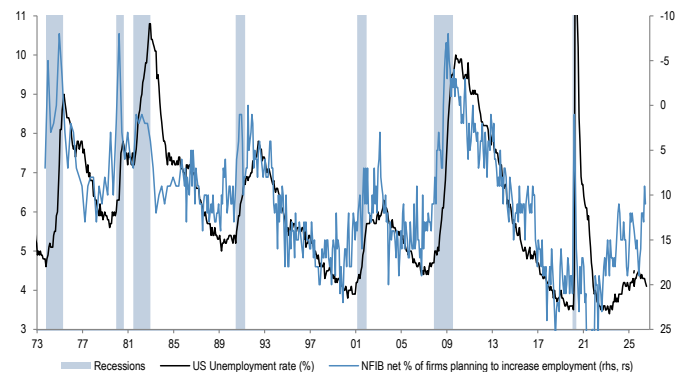
Figure 12: US job search expectations



Source: NY Fed

Job confidence is at lows.

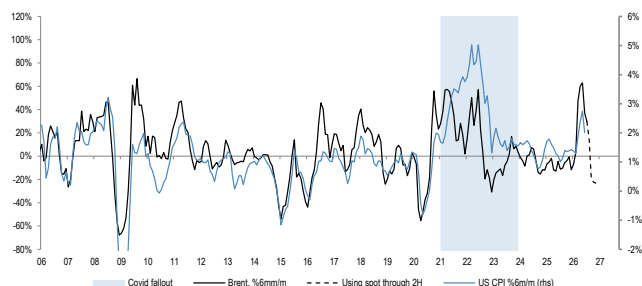
Figure 13: US unemployment rate and NFIB net % of firms planning to increase employment



Source: NFIB

Hiring uncertainty is elevated as well, which is not typically conducive to hikes.

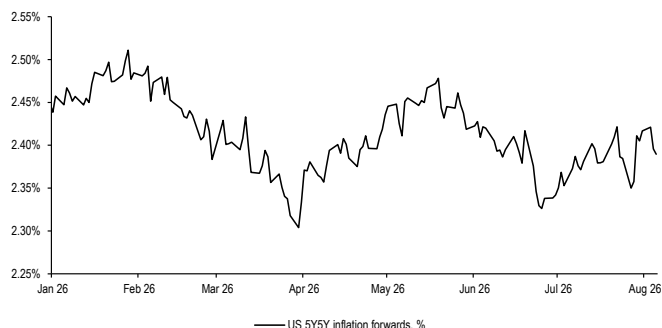
Figure 14: US CPI vs Brent



Source: Bloomberg Finance L.P., J.P. Morgan

With oil down approximately 30%, the pass through to headline inflation is increasingly visible. If oil prices stay at current levels, headline CPI in both the U.S. and the Eurozone should start falling sequentially as the elevated oil-driven base effects roll off.

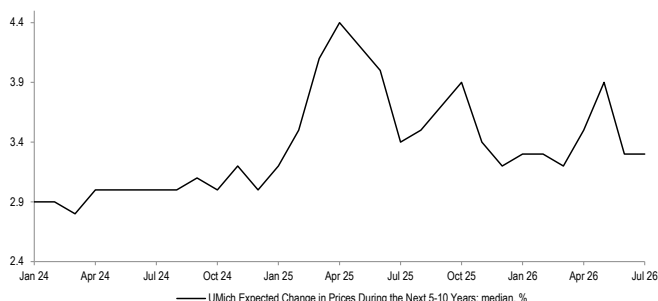
Figure 15: US 5Y 5Y Inflation forwards



Source: Bloomberg Finance L.P.

Long-term inflation expectations have remained anchored through the conflict-driven energy shock. US 5Y5Y inflation forwards stayed within a roughly 25bp range and did not breach 2.60%, a critical distinction from 2022 when expectations showed signs of de-anchoring.

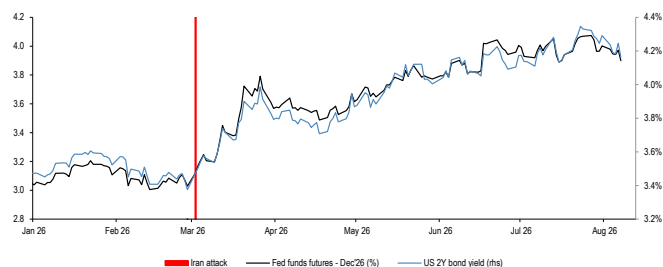
Figure 16: UMich Expected Change in Prices During the Next 5-10 Years: median, %



Source: Bloomberg Finance L.P.

The University of Michigan survey's 5 to 10 year inflation expectations have similarly remained contained, with the most recent reading at 3.3%.

Figure 17: Fed funds futures and US 2-year bond yield

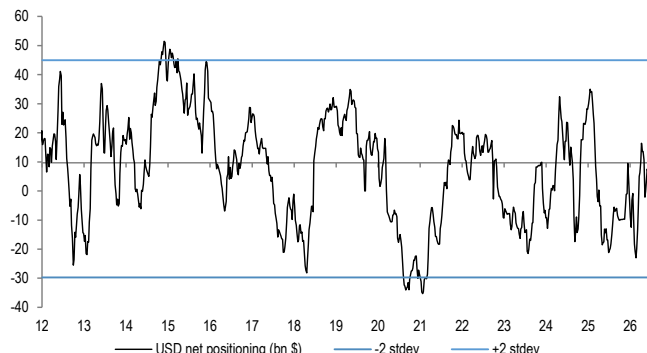


Source: Bloomberg Finance L.P.

The rates complex has repriced meaningfully since the conflict escalated. Markets have priced in approximately 90 basis points of change in Fed policy rate expectations, 80 basis points for the BoE, and over 65 basis points for the ECB since February. The spike in US 2-year yields in July, on the back of Warsh's hawkish comments at the time, might have been the high watermark.

Lower headline inflation supports real disposable incomes, reduces upward pressure on bond yields, and diminishes the case for central banks to keep tightening. While some hikes can happen, we think the magnitude that the market is already pricing in is likely to reduce as headline inflation falls through 2H. This could also result in a weaker dollar.

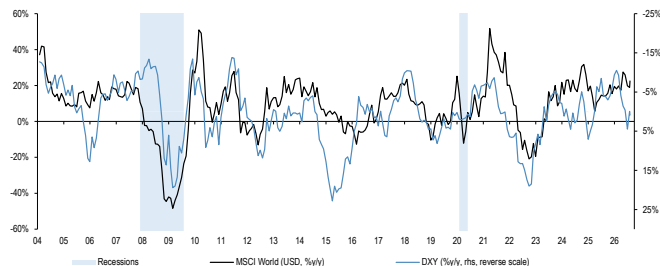
Figure 18: USD net positioning



Source: J.P. Morgan.

Beyond the scope for dovish central bank surprises, the dollar also looks vulnerable given stretched positioning, with investors still running a sizeable net long USD. In addition, recent FX market interventions by the US Treasury and the Bank of Japan appear to be reinforcing, and potentially coordinating around, a weaker dollar bias.

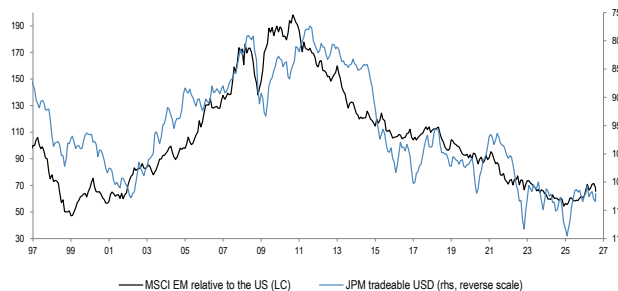
Figure 19: MSCI World and DXY



Source: Bloomberg Finance L.P.

Historically, a weaker dollar has been supportive for equity markets.

Figure 20: MSCI EM vs DM and USD since 1997

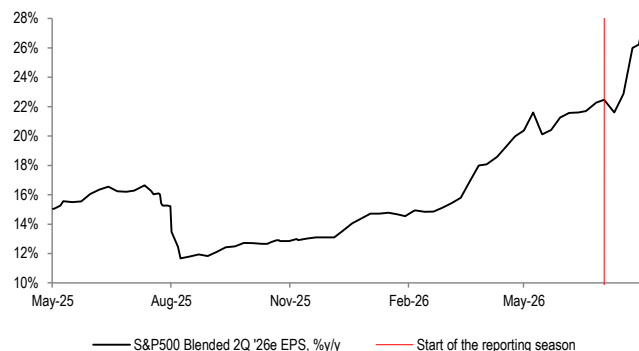


Source: Datastream, Bloomberg Finance L.P.

This is especially true for the emerging market trade.

Q2 reporting season has been reassuring

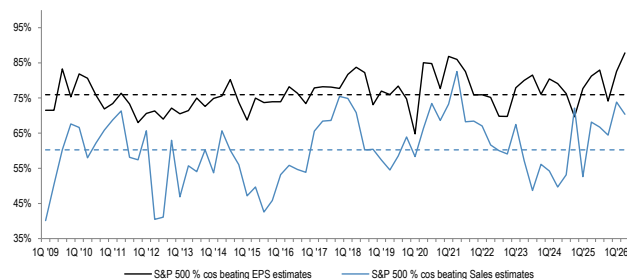
Figure 21: S&P500 Blended 2Q '26e EPS



Source: Thomson Reuters *Adjusted for Alphabet and Amazon

Unlike the typical pattern where consensus expectations are walked down into reporting season, Q2 2026 estimates rose ahead of and through the quarter. Despite the higher hurdle rate, S&P 500 blended EPS growth expectations are tracking around 26% year-on-year, with the average company beating expectations by 11%.

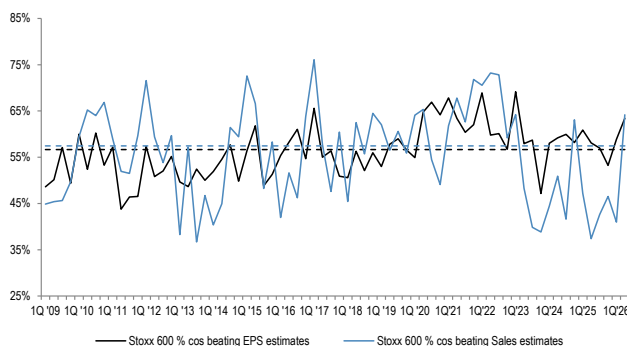
Figure 22: S&P500 companies beating EPS and Sales estimates



Source: Bloomberg Finance L.P., J.P. Morgan.

88% of S&P500 companies that have reported have beaten expectations, well above the 76% beat rate seen in an average quarter.

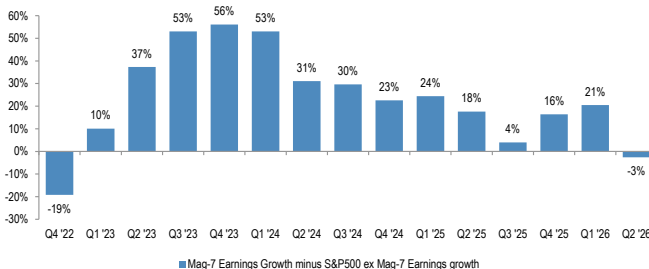
Figure 23: Stoxx 600 companies beating EPS and Sales estimates



Source: Bloomberg Finance L.P., J.P. Morgan.

Even in Europe, we are seeing a higher proportion of companies beating on both sales and earnings expectations.

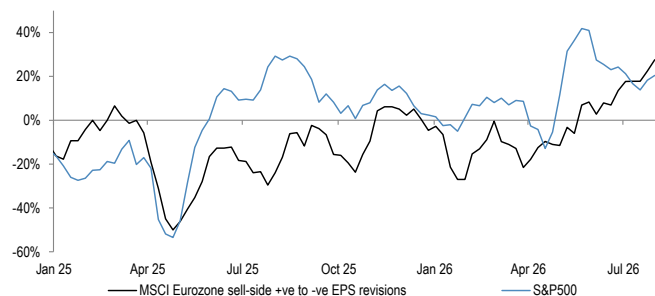
Figure 24: Mag 7 minus S&P500 ex Mag 7 Earnings growth



Source: Bloomberg Finance L.P., J.P. Morgan. Alphabet and Amazon adjusted EPS used for Q1 and Q2 2026. Q2 26 excludes Nvidia, which has not yet reported

After adjusting for Amazon and Alphabet's one-offs, Mag-7 EPS growth is slightly below S&P500 ex Mag-7 for the first time since 2022, reinforcing our market broadening narrative.

Figure 25: MSCI Eurozone and S&P500 Weekly EPS Revisions

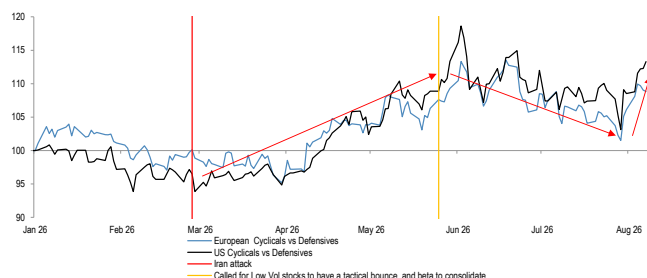


Source: IBES

EPS revisions have strengthened across key regions. Eurozone in particular has seen EPS revisions persistently move higher since late April, and have moved above the US for the first time since January 2025. This is a meaningful change and has coincided with an improvement in the Eurozone Manufacturing PMI.

Cyclical leadership to resume post tactical Low Vol rally

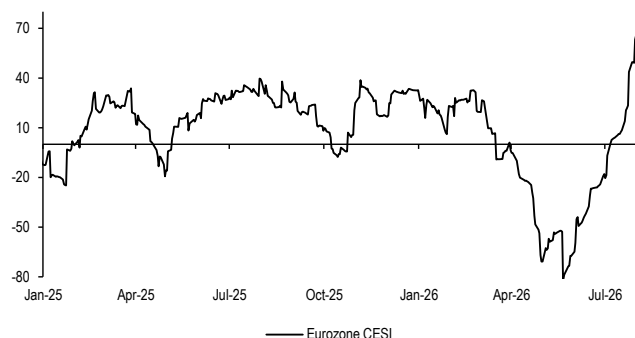
Figure 26: European and US Cyclical vs Defensives ytd



Source: Datastream

Cyclical sectors in general are strongly outperforming in 2026, aligned with our Year Ahead call published last November. European Cyclical are ahead of Defensives by approximately 10% ytd, and US Cyclical lead by around 12%. Importantly, even when stripping out Tech and AI related exposures, the Cyclical leadership remains visible, suggesting this is not purely a function of the narrow AI trade.

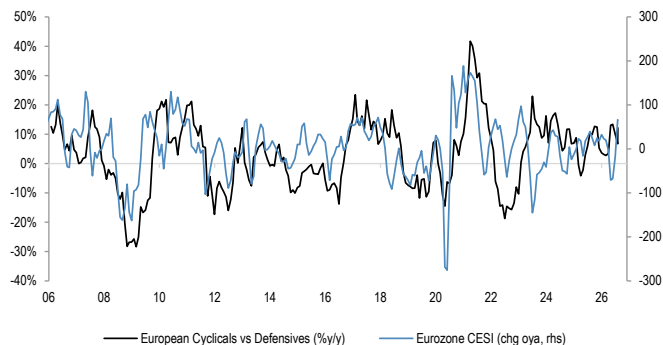
Figure 27: Eurozone CESI



Source: Bloomberg Finance L.P.

Eurozone economic surprise index has spiked to multi-year highs, reflecting recent data prints coming in better than consensus expected.

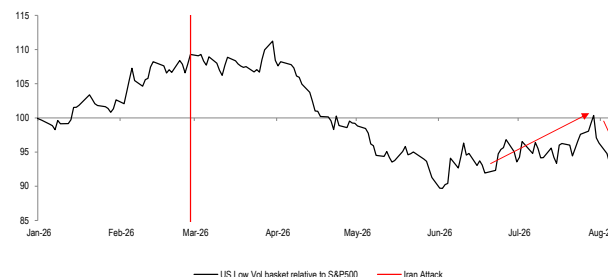
Figure 28: European Cyclical vs Defensives vs CESI



Source: Datastream, Bloomberg Finance L.P.

Positive economic data surprises are still underpinning better performance of the higher-beta part of the market.

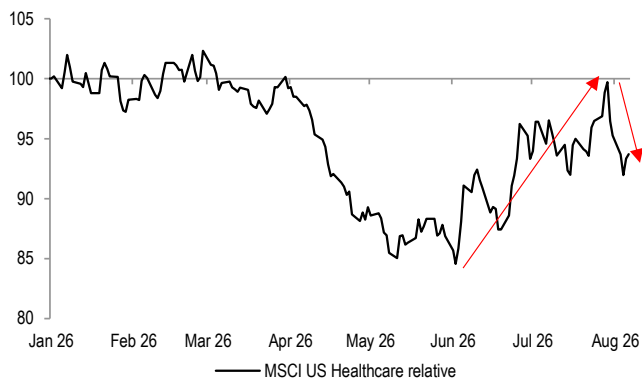
Figure 29: JPM US Low Vol basket relative



Source: J.P. Morgan, Bloomberg Finance L.P.

Two months ago we had called for some consolidation in beta, and for the Low Vol group to bounce. Our view at the time was that the Defensives recovery, including Healthcare and Staples, was likely to be only tactical, to last for a few weeks, and not to spill over into 2H. The recent price action shows that Low Vol groups have rolled over again, with Healthcare and Staples trading lower in the past few days.

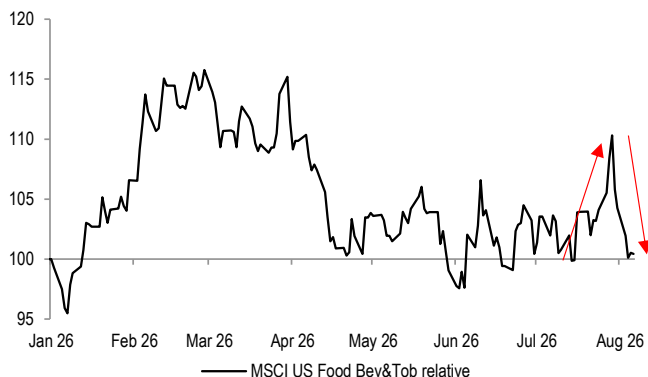
Figure 30: MSCI US Healthcare relative ytd



Source: Datastream

The recent bounce in Healthcare has faded, with the sector rolling over and trading lower in the past few sessions.

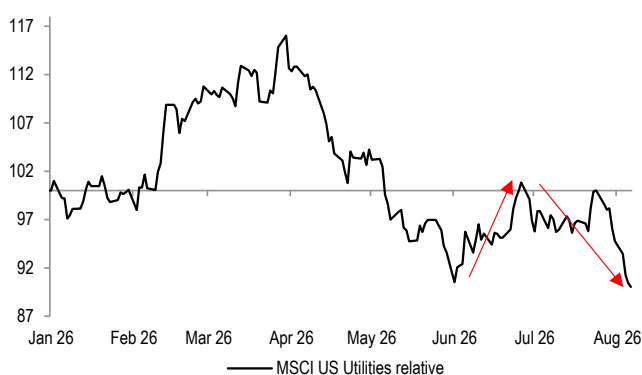
Figure 31: MSCI US Food, Beverage & Tobacco relative ytd



Source: Datastream

Staples are also giving back the bounce, turning lower again in recent days.

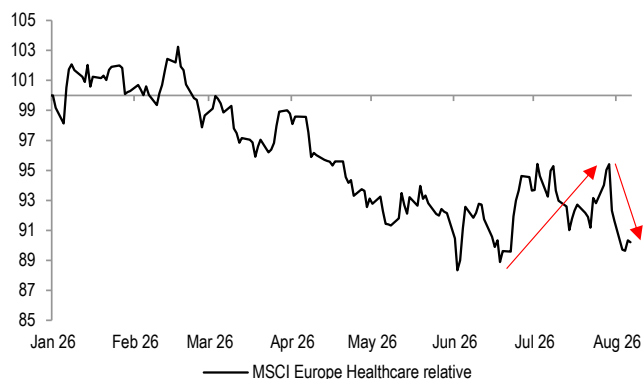
Figure 32: MSCI US Utilities relative ytd



Source: Datastream

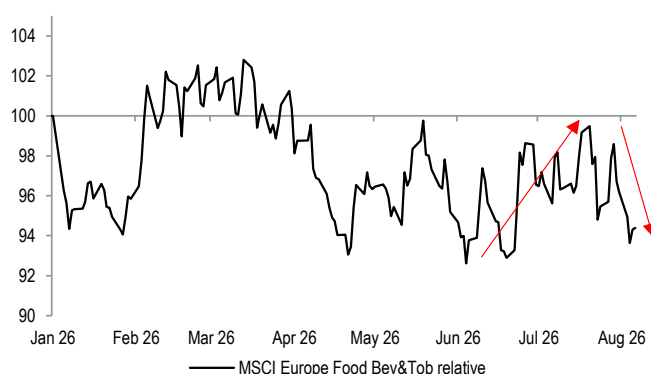
Utilities have similarly lost upward momentum and begun to fade, reinforcing that the Defensives recovery is losing momentum.

Figure 33: MSCI Europe Healthcare relative ytd



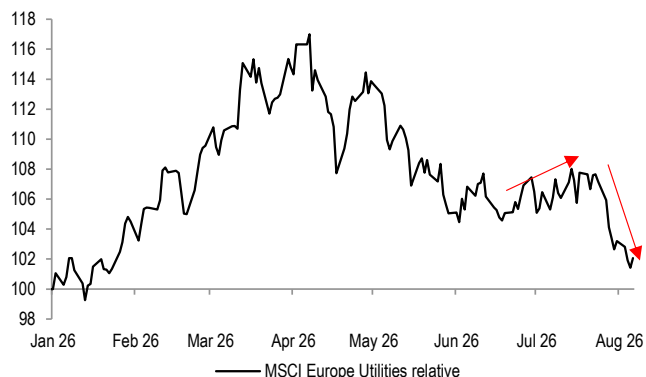
Source: Datastream

Figure 34: MSCI Europe Food, Beverage & Tobacco relative ytd



Source: Datastream

Figure 35: MSCI Europe Utilities relative ytd

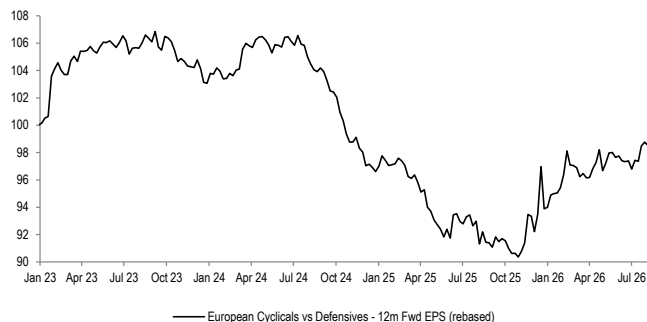


Source: Datastream

This is true in Europe, as well.

We continue to believe this to be the case. If the macro backdrop evolves as we expect, with rolling inflation, stabilizing PMIs, and eventual yield curve steepening, the conditions favor higher beta and Cyclical leadership. The tactical Low Vol bounce has run its course, and we expect beta to resume rallying from here.

Figure 36: European Cyclical vs Defensives forward EPS relative



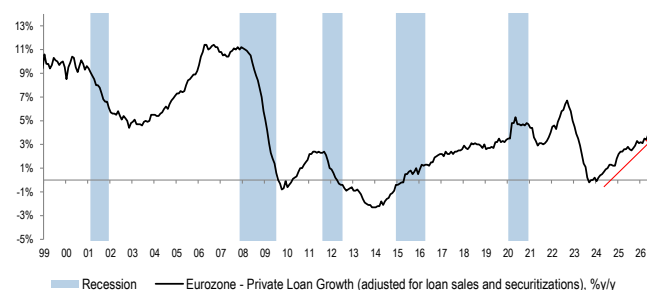
Source: IBES

Strong earnings uplift for Cyclical is a key support for our beta preference. The forward EPS growth differential between European Cyclical and Defensives remains wide, with Cyclical expected to deliver approximately 25% growth versus mid single digits for Defensives in 2026.

The recent yield curve steepening along with a lower dollar, would also help Cyclical. We believe the combination of these factors creates a powerful tailwind for Cyclical relative performance in 2H, making this a high conviction call within our broader constructive equity framework.

Within Cyclical, we have recently highlighted Banks as one of our preferred trades. Eurozone Banks are expected to deliver 10% EPS growth in 2026 followed by 14% in 2027, supported by resilient net interest income, a pickup in fee income from investment banking and wealth management, and improving loan demand.

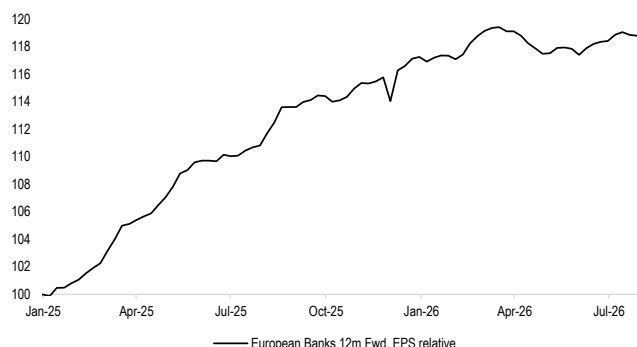
Figure 37: Eurozone private loan growth



Source: ECB

Eurozone private loan growth has been trending higher over the last couple of years and is currently growing at a healthy pace of 4% y/y.

Figure 38: European Banks' EPS relative



The sector's earnings are staying resilient.

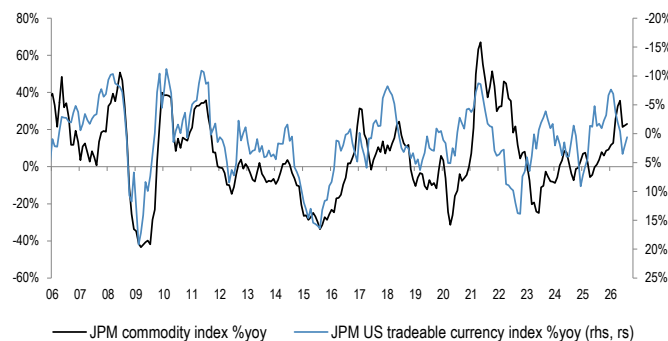
Figure 39: MSCI Europe Metals & Mining vs Copper



Source: Datastream, Bloomberg Finance L.P.

We remain positive on Mining, having double upgraded the sector in March '25. We think the recent weakness is another opportunity to add, as the gap with spot metal prices has reopened.

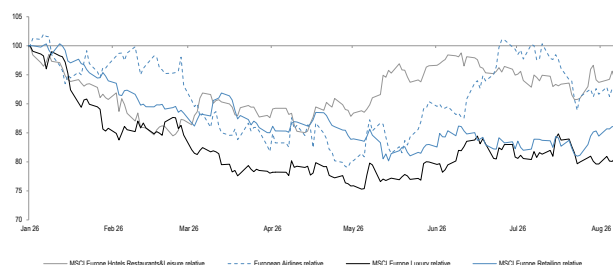
Figure 40: Commodity index and trade-weighted USD



Source: Bloomberg Finance L.P.

Miners stand to gain from improved trading in underlying commodity prices, particularly if the dollar resumes weakening over the coming months.

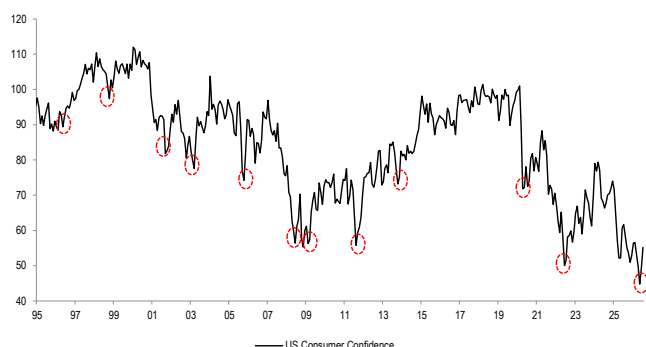
Figure 41: European Consumer Cyclical performance



Source: Datastream

On the other side, Consumer Cyclical have been lagging meaningfully for quite some time, but have recently shown signs of stabilization. We believe that the sector is close to ending the vicious cycle of profit warnings and could see better operating trends going forward, especially if the inflation pressures ease.

Figure 42: US Consumer Confidence



Source: Bloomberg Finance L.P.

Table 3: European Consumer sectors relative performance from the trough of US Consumer Confidence

European Consumer sectors relative performance from the trough of Michigan US Consumer confidence (Average)							
	Autos	Luxury	Retailing	Hotels, Rest & Leis	Homebuilders	Airlines	MSCI Europe
1m	2%	2%	1%	0%	-1%	4%	3%
3m	6%	3%	2%	1%	2%	-10%	5%
6m	8%	9%	5%	2%	8%	-6%	9%
12m	8%	12%	10%	5%	16%	22%	13%

Source: Bloomberg Finance L.P.

Interestingly, when consumer confidence is near lows, as was the case recently, these consumer groups tend to outperform over the next 12 months.

Equity Strategy Key Calls and Drivers

Our bullish equities call for this year was based on resilient activity, strong earnings momentum and likely no de-anchoring in inflation expectations, among other things. We believe that main positives are still tracking. In addition, we have in the past two months called for a rotation and broadening in market leadership, from what was an exceptionally narrow participation in Q2. It is very much reassuring that despite the material unwind in momentum factor, global equity indices – MXWO, SPX, SXXP etc – are all within 1-2% of all-time highs. We stay with the view that Tech/AI is unlikely to be the dominant driver of returns in 2H, in contrast to 2025, and are looking for continued broadening. Having said that, we argued in our last weekly that the main chunk of momentum derisking was likely behind us, and that the group should stabilize. We have also consistently argued since the second half of March to use any equity weakness brought on by the Iran conflict to buy into. The flare-ups are continuing, but the impact on oil might become more muted, supply is likely to be structurally higher, and if one joins selling during derisking episodes, one risks being whipsawed on any favourable headline. Additionally, while the market might be anxious about it, we suspect that Fed will aim to be as accommodative as possible, which could result in lower bond yields down the line, or in lower USD, either of which would be a support for equities, especially if the yield curve is steepening at the same time. Equities and USD tended to show an inverse correlation, and curve steepening has historically favoured Cyclical. At the overall equity level, we look for fresh highs in 2H. Notably, non-US stocks are faring well, ahead of US for a second year in a row. Encouragingly, Eurozone CESI is at fresh highs, credit growth and car sales have been rebounding, PMIs are up for two months in a row, as are EPS revisions. We believed that Low Vol bounce seen in the past weeks will be only tactical, and will not spill over much into 2H. We expect continued market broadening, Value, small caps and Cyclical leadership from here. Japanese Banks show more upside, and the Miners have opened up again a cushion with metal prices, offering an improved risk-reward. equity rally was almost exclusive to Mag-7 for most of the 2H, we believe there is more upside for Mag-7 over the next months, as earnings are more than compensating for the stocks' rebound. We also find the EM memory trade has legs, as meaningful supply additions are not coming before the start of 2028. Stay OW EM equities. With MXWO and MXEF at fresh highs, having more than V-shaped, is the downside risk greater than the upside one from here? We think further upside is likely as investor positioning is lighter currently than pre-conflict, P/Es are lower, we remain very bullish on the broad earnings outlook, with lead indicators pointing to continued acceleration. Further, equities are not all that complacent beneath the surface – current market breadth is very narrow – we think this is a good sign this time around, as the rally to date was more driven by AI, an orthogonal trade to geopolitics, and nearly all consumer plays are still at lows. This can change, with broadening in participation in 2H. We do not expect bond yields to rise in 2H, we see big differences from the 2022 template, and do not see stagflation as the most likely outcome for 2H. Wage growth is moving lower this time around, and corporates are unlikely to exhibit sustained pricing power, with AI anxiety an overhang on sentiment in labour markets, as well. While some hikes can happen, we think the magnitude that the market is already pricing in is likely to reduce.

Table 4: J.P. Morgan Equity Strategy — Factors driving our medium-term views

Driver	Impact	Our Core Working Assumptions	Recent Developments
Global Growth	Neutral	Hard labour market data has been a bright spot, but that can change quickly	Global composite PMI is at 52.6
European Growth	Positive	Fiscal policy changes and energy inflation to drive GDP revisions	Eurozone Manufacturing PMI is at 51.9
Monetary Policy	Neutral	Fed on pause	
Currency	Neutral	Longer term bearish dollar view intact	
Earnings	Positive	Eurozone earnings set to improve in 2026	2026 EPS projections are improving
Valuations	Negative	At 20x, U.S. forward P/E is still stretched, especially vs real yield	MSCI Europe on 14.7x Fwd P/E
Technical	Neutral	Sentiment indicators appear close to oversold now, though positioning is still stretched	Households' equity weight as a share of total assets is at record high

Source: J.P. Morgan estimates

Table 5: Base Case and Risks

Scenario	Assumption
Upside scenario	Fed on pause while inflation remains in check and growth is stronger
Base-case scenario	Economic growth, inflation remains sustainable and Fed policy rate on hold, Geopolitical uncertainty subsides
Downside scenario	Fed hikes rates with inflation picking up. Geopolitical uncertainty escalates further

Source: J.P. Morgan estimates.

Table 6: Index targets

	Dec '26 Target	Current	% upside
MSCI EUROZONE	420	394	7%
FTSE 100	11,000	10,888	1%
MSCI EUROPE	2,750	2,616	5%
EURO STOXX 50	6,800	6,477	5%
STOXX 600 E	680	657	3%

Source: J.P. Morgan

Table 7: Key sector calls

Overweight	Neutral	Underweight
Mining	Utilities	Energy
Capital Goods	Healthcare	Media
Semis	Autos	Staples
Construction Materials	Telecoms	Insurance
Luxury	Real Estate	
	Chemicals	
	Banks	
	Technology Hardware	

Source: J.P. Morgan.

Table 8: J.P. Morgan Equity Strategy — Key sector calls*

Sector	Recommendations	Key Drivers
Metals & Mining	Overweight	Preferred on a constructive China impulse and bearish USD backdrop (with "spot gap" now open again), with China activity the key wildcard.
Cap Goods	Overweight	Supported by a constructive capex/electrification outlook, favoring parts of Industrials tied to investment spend.
Semis	Overweight	Expected to stabilize/benefit as the China/EM upswing helps previously China-exposed cyclical and underperformers recover.
Media	Underweight	Likely to keep struggling regardless of near-term activity resilience, given ongoing AI-related disruption (though tactical bounces are possible after derating).
Software	Underweight	Similarly pressured by the AI threat and likely to remain a laggard structurally, even if oversold conditions drive intermittent rallies.

Source: J.P. Morgan estimates. * Please see the last page for the full list of our calls and sector allocation.

Table 9: J.P. Morgan Equity Strategy — Key regional calls

Region	Recommendations	J.P. Morgan Views
EM	Overweight	EM are underowned, valuations are cheap, seeing accelerating inflows, reduced China trade headwinds, China policy support
DM	Underweight	
US	Neutral	Crowded positioning, full valuations and AI commoditization risk, may not be regional outperformer
Japan	Neutral	Fundamentals remain solid, reforms/buybacks/wage gains help, but had big rally, fuller valuations
Eurozone	Overweight	Improving credit impulse and expected earnings rebound
UK	Neutral	Structurally cheap with high dividends and lower AI/trade sensitivity - useful in risk-off - but lacks near-term growth catalysts

Source: J.P. Morgan estimates.

Top Picks

Table 10: J.P. Morgan European Strategy: Top European picks

Name	Ticker	Sector	Price	Currency	Market Cap (€ Bn)	EPS Growth			Dividend Yield	12m Fwd P/E			Performance	
						25	26e	27e	26e	Current	10Y Median	% Premium	-3m	-12m
AEGON LTD	AGN NA	Financials	8	E	13.1	-18%	55%	3%	4.3%	8.8	6.8	30%	18%	33%
AIB GROUP PLC	AIBG ID	Financials	11	E	22.8	0%	-7%	10%	3.3%	11.7	10.9	7%	12%	64%
ALSTOM	ALO FP	Industrials	17	E	7.7	958%	9%	48%	1.4%	9.0	16.4	-45%	-3%	-18%
ANHEUSER-BUSCH INBEV SA/NV	ABI BB	Staples	74	E	149.5	6%	19%	10%	1.2%	18.2	17.9	2%	7%	44%
ARGENX SE	ARGX BB	Health Care	749	E	47.8	3977%	41%	35%	0.0%	26.1	-23.2	-	10%	25%
ASML HOLDING NV	ASML NA	IT	1466	E	570.2	28%	54%	38%	0.4%	31.4	29.3	7%	19%	145%
ASTRAZENECA PLC	AZN LN	Health Care	12036	£	218.0	12%	11%	12%	1.9%	14.9	18.1	-18%	-10%	7%
BABCOCK INTL GROUP PLC	BAB LN	Industrials	1186	£	6.9	64%	-21%	67%	0.4%	17.6	8.9	97%	8%	18%
BARCLAYS PLC	BARC LN	Financials	528	£	83.2	27%	8%	23%	1.6%	8.8	7.3	19%	26%	46%
BAYERISCHE MOTOREN WERKE AG	BMW GR	Discretionary	60	E	36.5	-	-41%	34%	7.2%	7.1	7.1	1%	-23%	-29%
BT GROUP PLC	BT/A LN	Telecoms	201	£	23.2	1%	-2%	4%	4.0%	10.6	8.3	28%	-9%	-5%
CIE FINANCIERE RICHEMO-A REG	CFR SW	Discretionary	197	SF	125.0	-1%	-3%	21%	1.3%	27.2	22.2	22%	34%	50%
CONTINENTAL AG	CON GR	Discretionary	70	E	13.8	1%	-20%	11%	3.6%	10.1	9.8	3%	13%	27%
DANONE	BN FP	Staples	68	E	47.0	5%	4%	8%	3.2%	16.5	16.9	-3%	5%	-6%
DSV A/S	DSV DC	Industrials	1336	DK	43.4	-1%	27%	32%	0.5%	17.4	22.9	-24%	-8%	-8%
FERROVIAL NV	FER SM	Industrials	58	E	42.0	-72%	-18%	17%	1.3%	51.9	49.4	5%	-2%	30%
FRAPORT AG FRANKFURT AIRPORT	FRA GR	Industrials	68	E	6.1	-4%	-26%	9%	0.0%	18.7	15.2	23%	1%	1%
FRESENIUS SE & CO KGAA	FRE GR	Health Care	47	E	26.7	13%	0%	9%	2.2%	12.4	11.8	5%	17%	12%
FRESNILLO PLC	FRES LN	Materials	2747	£	23.4	465%	45%	1%	0.7%	12.3	19.8	-38%	-12%	81%
INDUSTRIA DE DISENO TEXTIL	ITX SM	Discretionary	59	E	184.4	9%	6%	9%	2.6%	25.5	22.8	12%	16%	42%
JERONIMO MARTINS	JMT PL	Staples	17	E	11.0	8%	11%	14%	3.4%	14.1	19.9	-29%	-13%	-18%
LEONARDO SPA	LDO IM	Industrials	57	E	34.0	15%	52%	19%	0.9%	21.7	9.8	122%	8%	19%
MARKS & SPENCER GROUP PLC	MKS LN	Staples	409	£	9.9	31%	-25%	42%	0.7%	12.1	11.2	9%	27%	19%
NEMETSCHEK SE	NEM GR	IT	58	E	6.6	41%	13%	23%	0.9%	20.6	48.7	-58%	-8%	-57%
NOKIA OYJ	NOKIA FH	IT	8	E	47.5	-26%	16%	21%	1.7%	22.4	14.6	53%	-26%	140%
NOVONESIS (NOVOZYMES) B	NSISB DC	Materials	423	DK	26.3	16%	35%	11%	1.0%	26.4	28.7	-8%	6%	-1%
ORANGE	ORA FP	Telecoms	16	E	43.1	5%	32%	0%	4.5%	14.0	10.4	35%	-11%	15%
PRUDENTIAL PLC	PRU LN	Financials	1025	£	30.3	13%	17%	19%	1.7%	10.5	10.8	-3%	-7%	7%
RWE AG	RWE GR	Utilities	56	E	43.4	-21%	13%	16%	1.8%	18.0	14.6	24%	-8%	52%
SAIPEM SPA	SPM IM	Energy	4	E	8.6	0%	5%	89%	3.8%	17.9	16.3	10%	-8%	91%
SHELL PLC	SHEL LN	Energy	3281	US\$	213.5	-17%	67%	-14%	3.1%	9.3	9.9	-6%	-1%	22%
SIEMENS AG-REG	SIE GR	Industrials	286	E	213.8	17%	-11%	16%	1.8%	23.4	15.1	55%	10%	31%
SIEMENS ENERGY AG	ENR GR	Industrials	152	E	130.5	-	168%	39%	0.0%	25.8	30.4	-15%	-17%	54%
SSE PLC	SSE LN	Utilities	2342	£	33.3	13%	-5%	19%	2.6%	12.3	12.2	0%	-8%	26%
STANDARD CHARTERED PLC	STAN LN	Financials	2212	£	56.9	36%	6%	17%	1.2%	11.4	9.1	26%	22%	60%
TECHNIP ENERGIES NV	TE FP	Energy	30	E	5.4	-6%	1%	46%	2.8%	11.6	10.4	11%	-22%	-26%
UBS GROUP AG-REG	UBSG SW	Financials	43	SF	152.6	55%	56%	22%	1.7%	13.0	10.5	24%	25%	44%
UNILEVER PLC	ULVR LN	Staples	4774	£	119.4	-8%	5%	7%	3.6%	16.6	18.3	-9%	12%	-1%
UNIVERSAL MUSIC GROUP NV	UMG NA	Telecoms	15	E	28.1	7%	-6%	11%	3.5%	14.2	24.6	-42%	-21%	-41%

Source: Datastream, MSCI, IBES, J.P. Morgan, Prices and Valuations as of COB 7th Aug, 2026. Past performance is not indicative of future returns.

Please see the most recent company-specific research published by J.P. Morgan for an analysis of valuation methodology and risks on companies recommended in this report. Research is available at <http://www.jpmorganmarkets.com>

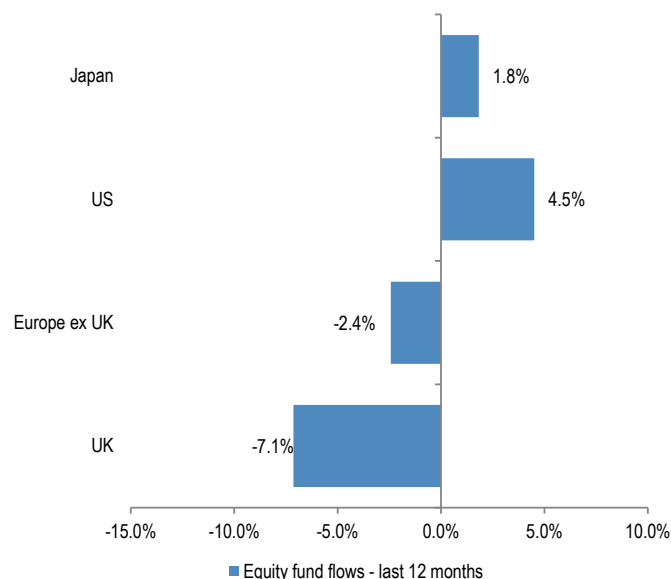
Equity Flows Snapshot

Table 11: DM Equity Fund Flows Summary

Regional equity fund flows										
	\$mn					% AUM				
	1w	1m	3m	YTD	12m	1w	1m	3m	YTD	12m
Europe ex UK	-1,098	-2,794	-10,910	-14,048	-10,143	-0.2%	-0.6%	-2.3%	-3.1%	-2.4%
UK	-601	-2,270	-3,375	-8,936	-21,432	-0.2%	-0.7%	-1.0%	-2.9%	-7.1%
US	30,440	64,044	244,719	379,506	609,230	0.2%	0.4%	1.6%	2.6%	4.5%
Japan	1,167	5,818	1,136	20,477	16,746	0.1%	0.5%	0.1%	2.0%	1.8%

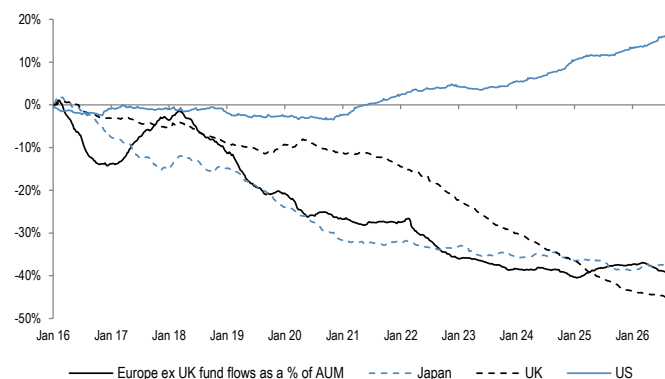
Source: EPFR, as of 29th Jul, 2026

Figure 43: DM Equity Fund flows – last 12 months



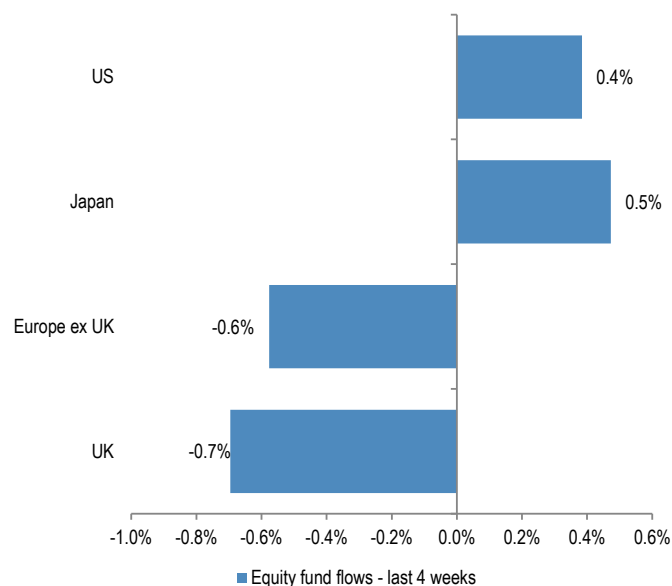
Source: EPFR, Japan includes BoJ purchases.

Figure 45: Cumulative fund flows into regional funds as a percentage of AUM



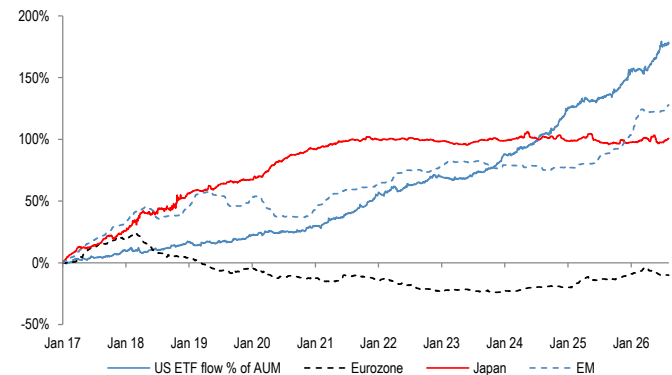
Source: EPFR, as of 15##29th Jul, 2026. Japan includes Non-ETF purchases only.

Figure 44: DM Equity Fund flows – last 4 weeks



Source: EPFR, Japan includes BoJ purchases.

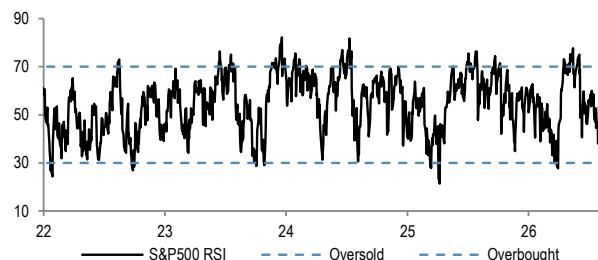
Figure 46: Cumulative fund flows into regional equity ETFs as a percentage of AUM



Source: Bloomberg Finance L.P. *Based on the 25 biggest ETF's with a mandate to invest in that particular region. Japan includes BoJ purchases.

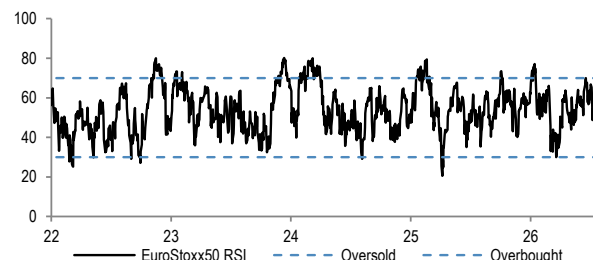
Technical Indicators

Figure 47: S&P500 RSI



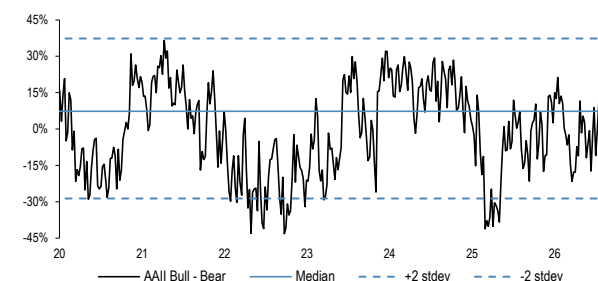
Source: Bloomberg Finance L.P.

Figure 48: EuroStoxx50 RSI



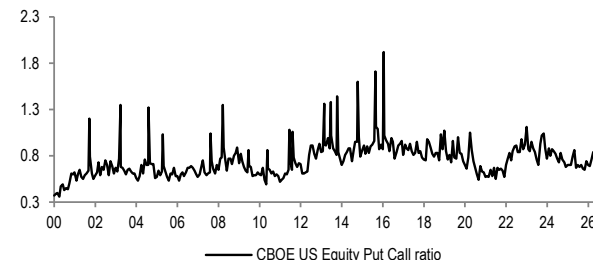
Source: Bloomberg Finance L.P.

Figure 49: AAll Bull-Bear



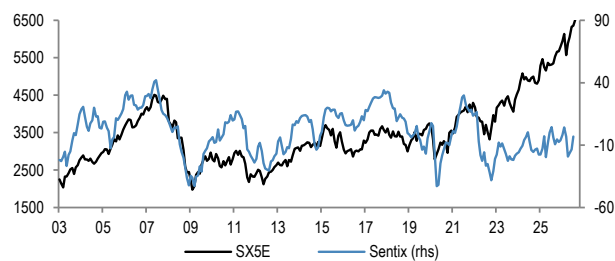
Source: Bloomberg Finance L.P.

Figure 50: Put-call ratio



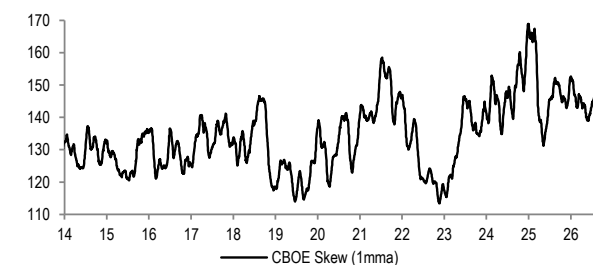
Source: Bloomberg Finance L.P.

Figure 51: Sentix Sentiment Index vs SX5E



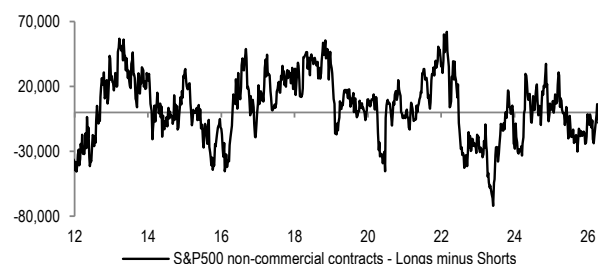
Source: Bloomberg Finance L.P.

Figure 52: Equity Skew



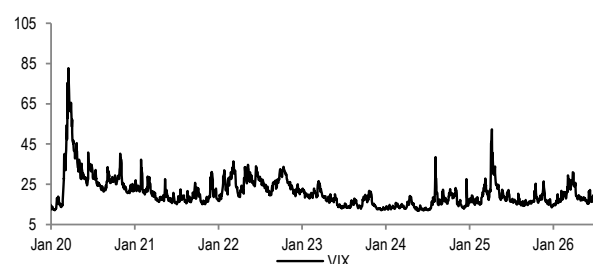
Source: Bloomberg Finance L.P.

Figure 53: Speculative positions in S&P500 futures contracts



Source: Bloomberg Finance L.P.

Figure 54: VIX



Source: Bloomberg Finance L.P.

Performance

Table 12: Sector Index Performances — MSCI Europe

(%change)		Local currency		
Industry Group		4week	12m	YTD
Europe		3.4	21.0	10.7
Energy		6.3	34.2	28.3
Materials		8.4	28.5	16.0
	Chemicals	4.5	9.3	16.9
	Construction Materials	(1.1)	(3.6)	(15.1)
	Metals & Mining	15.4	81.9	27.8
Industrials		6.0	19.5	13.6
	Capital Goods	6.9	24.9	16.6
	Transport	(4.5)	14.5	3.6
	Business Svcs	6.6	(21.1)	(8.3)
Consumer Discretionary		3.9	2.7	(8.6)
	Automobile	4.3	(10.9)	(15.6)
	Consumer Durables	2.5	9.3	(11.4)
	Media	(0.7)	(22.7)	(14.6)
	Retailing	6.0	11.1	(4.7)
	Hotels, Restaurants & Leisure	4.9	(3.4)	5.2
Consumer Staples		0.5	5.7	3.1
	Food & Drug Retailing	1.0	9.3	6.0
	Food Beverage & Tobacco	(0.7)	7.4	4.4
	Household Products	3.0	0.6	(0.7)
Healthcare		(2.0)	14.4	(0.0)
Financials		6.6	30.8	15.0
	Banks	8.1	49.2	21.7
	Diversified Financials	6.3	10.8	7.6
	Insurance	3.0	10.9	5.7
Real Estate		8.8	21.7	16.7
Information Technology		(1.3)	52.1	32.1
	Software and Services	18.3	(21.9)	(9.1)
	Technology Hardware	(4.5)	43.6	18.3
	Semicon & Semicon Equip	(6.5)	129.2	60.8
Telecommunications Services		1.8	(9.9)	(2.4)
Utilities		(2.3)	24.3	12.3

Source: MSCI, Datastream, As at COB 5th Aug, 2026

Table 13: Country and Region Index Performances

(%change)		Local Currency			US\$		
Country	Index	4week	12m	YTD	4week	12m	YTD
Austria	ATX	5.1	48.2	25.9	6.5	48.0	23.8
Belgium	BEL 20	2.6	23.8	13.7	3.9	23.7	11.9
Denmark	KFX	(4.6)	6.2	(2.6)	(3.3)	5.9	(4.2)
Finland	HEX 20	0.5	23.4	6.8	1.8	23.3	5.1
France	CAC 40	5.0	13.8	6.4	6.4	13.6	4.6
Germany	DAX	4.9	9.6	6.7	6.3	9.4	4.9
Greece	ASE General	5.5	29.0	23.7	6.8	28.8	21.7
Ireland	ISEQ	1.7	24.3	7.0	3.0	24.2	5.3
Italy	FTSE MIB	3.1	31.2	18.9	4.5	31.0	17.0
Japan	Topix	1.0	37.8	18.7	4.3	29.0	18.1
Netherlands	AEX	3.3	25.3	16.8	4.6	25.1	14.9
Norway	OBX	3.0	20.7	18.1	6.0	30.3	25.2
Portugal	BVL GEN	1.2	18.1	11.4	2.5	17.9	9.6
Spain	IBEX 35	5.0	39.2	15.9	6.3	39.1	14.0
Sweden	OMX	5.8	29.8	15.4	8.5	32.5	12.3
Switzerland	SMI	2.7	22.7	9.7	3.0	22.8	7.7
United States	S&P 500	3.2	22.6	12.8	3.2	22.6	12.8
United States	NASDAQ	1.9	26.0	13.4	1.9	26.0	13.4
United Kingdom	FTSE 100	3.8	19.1	9.6	4.6	20.8	9.9
EMU	MSCI EMU	3.5	22.5	12.0	4.8	22.4	10.2
Europe	MSCI Europe	3.4	21.0	10.7	4.5	21.5	9.3
Global	MSCI AC World	3.1	22.8	12.7	3.5	22.6	12.5

Source: MSCI, Datastream, As at COB 5th Aug, 2026

Earnings

Table 14: IBES Consensus EPS Sector Forecasts — MSCI Europe

	EPS Growth (%yoy)			
	2025E	2026E	2027E	2028E
Europe	(0.4)	18.2	10.5	10.7
Energy	(13.7)	69.8	(14.4)	(2.4)
Materials	(9.4)	31.7	10.9	6.4
Chemicals	(6.7)	12.9	6.1	10.4
Construction Materials	(22.1)	9.5	12.9	11.3
Metals & Mining	(5.9)	58.1	12.4	2.5
Industrials	8.9	12.6	14.9	14.0
Capital Goods	11.2	13.9	16.3	14.5
Transport	(3.0)	4.6	7.5	13.4
Business Svs	5.9	10.8	10.8	10.3
Discretionary	(63.0)	146.2	20.5	15.4
Automobile	(130.5)	-	30.5	17.7
Consumer Durables	(7.2)	12.2	14.5	13.5
Media	20.6	8.7	15.2	13.7
Retailing	15.7	12.7	14.7	14.1
Hotels, Restaurants & Leisure	10.6	5.9	15.6	14.8
Staples	(1.9)	3.2	7.8	7.5
Food & Drug Retailing	1.0	9.4	8.7	7.8
Food Beverage & Tobacco	(1.6)	2.5	7.7	7.9
Household Products	(4.1)	2.3	7.7	6.2
Healthcare	9.2	3.8	9.5	10.9
Financials	10.0	10.5	13.0	11.2
Banks	12.9	9.1	14.1	11.5
Diversified Financials	(8.2)	24.2	16.5	15.7
Insurance	14.3	7.0	7.9	7.3
Real Estate	11.8	(0.6)	5.3	2.3
IT	12.1	24.0	28.9	24.9
Software and Services	24.6	11.1	15.3	16.6
Technology Hardware	4.4	(10.7)	11.8	13.0
Semicon & Semicon Equip	7.4	49.9	41.5	31.4
Telecoms	9.1	9.1	14.3	11.0
Utilities	1.2	7.0	7.2	7.2

Source: IBES, MSCI, Datastream. As at COB 5th Aug, 2026

Table 15: IBES Consensus EPS Country Forecasts

Country	Index	EPS growth (%change)			
		2025E	2026E	2027E	2028E
Austria	ATX	9.7	23.5	10.6	8.4
Belgium	BEL 20	18.3	11.2	14.9	12.6
Denmark	Denmark KFX	(1.2)	(0.9)	4.6	10.6
Finland	MSCI Finland	4.5	17.7	11.7	10.8
France	CAC 40	(22.9)	44.4	10.2	10.0
Germany	DAX	5.2	7.1	16.0	14.3
Greece	MSCI Greece	(10.4)	12.7	14.2	10.0
Ireland	MSCI Ireland	2.9	(3.1)	12.9	13.4
Italy	MSCI Italy	(37.3)	85.2	10.7	10.5
Netherlands	AEX	(20.6)	38.1	11.4	13.8
Norway	MSCI Norway	(11.2)	52.6	(8.8)	1.7
Portugal	MSCI Portugal	23.6	21.7	1.2	5.4
Spain	IBEX 35	5.7	12.1	11.7	9.5
Sweden	OMX	(3.3)	6.1	8.3	9.1
Switzerland	SMI	6.7	8.5	10.1	10.1
United Kingdom	FTSE 100	6.8	18.1	7.6	8.3
EMU	MSCI EMU	(4.4)	21.2	12.9	12.3
Europe ex UK	MSCI Europe ex UK	(2.6)	17.9	11.8	11.7
Europe	MSCI Europe	(0.4)	18.2	10.5	10.7
United States	S&P 500	13.6	29.4	16.6	14.8
Japan	Topix	11.4	15.1	11.9	10.9
Emerging Market	MSCI EM	10.3	67.1	23.7	11.4
Global	MSCI AC World	10.2	31.0	16.3	12.9

Source: IBES, MSCI, Datastream. As at COB 5th Aug, 2026**Japan refers to the period from March in the year stated to March in the following year— EPS post-goodwill

Valuations

Table 16: IBES Consensus European Sector Valuations

	P/E			Dividend Yield			EV/EBITDA			Price to Book		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Europe	16.3	14.8	13.3	3.0%	3.3%	3.5%	9.2	8.5	7.9	2.4	2.2	2.1
Energy	8.3	9.6	9.9	4.4%	4.6%	4.8%	3.5	3.9	3.9	1.5	1.4	1.3
Materials	17.9	16.1	15.1	2.8%	3.0%	3.2%	8.0	7.4	6.9	2.1	2.0	1.9
Chemicals	23.1	21.7	19.7	2.6%	2.7%	2.8%	11.5	11.0	10.0	2.5	2.4	2.3
Construction Materials	15.9	14.1	12.7	2.4%	2.7%	2.9%	8.9	8.0	7.2	1.7	1.6	1.5
Metals & Mining	14.7	13.1	12.7	3.0%	3.3%	3.5%	6.2	5.7	5.4	2.1	2.0	1.9
Industrials	24.3	21.1	18.5	1.9%	2.2%	2.4%	11.9	10.8	9.7	4.3	3.9	3.5
Capital Goods	25.8	22.2	19.4	1.8%	2.0%	2.3%	13.2	11.6	10.3	4.9	4.4	3.8
Transport	16.8	15.6	13.8	2.9%	2.9%	3.0%	7.7	7.8	7.2	2.0	1.9	1.8
Business Svs	18.3	16.5	15.0	2.8%	3.0%	3.3%	11.2	10.4	9.5	5.9	5.5	5.2
Discretionary	17.2	14.3	12.4	2.5%	2.8%	3.2%	7.6	5.9	5.2	2.1	1.9	1.7
Automobile	9.7	7.4	6.3	3.8%	4.8%	5.5%	1.6	1.3	1.2	0.6	0.6	0.5
Consumer Durables	24.8	21.7	19.1	2.1%	2.3%	2.5%	14.3	11.2	10.3	4.0	3.7	3.4
Media & Entertainment	20.5	17.8	15.7	1.6%	1.8%	1.9%	13.5	11.8	9.9	4.6	4.0	3.6
Retailing	16.6	14.4	12.6	2.2%	2.5%	2.7%	20.1	13.6	11.0	5.8	3.5	3.0
Hotels, Restaurants & Leisure	21.9	19.0	16.5	2.3%	2.5%	2.8%	11.3	10.3	9.2	5.9	5.4	4.7
Staples	17.1	15.9	14.8	3.2%	3.4%	3.6%	10.6	9.8	9.2	3.0	2.9	2.7
Food & Drug Retailing	13.6	12.6	11.6	3.7%	3.9%	4.2%	6.5	6.0	5.6	2.0	1.9	1.8
Food Beverage & Tobacco	16.9	15.7	14.6	3.4%	3.6%	3.9%	10.9	10.1	9.4	2.8	2.7	2.5
Household Products	19.4	18.0	17.0	2.7%	2.8%	3.0%	12.7	11.5	11.0	4.4	4.0	3.7
Healthcare	16.5	15.1	13.6	2.5%	2.7%	2.8%	12.2	11.0	10.1	3.3	3.0	2.7
Financials	12.5	11.1	9.9	4.2%	4.6%	5.1%	-	-	-	1.7	1.6	1.5
Banks	11.9	10.4	9.4	4.5%	5.0%	5.6%	-	-	-	1.6	1.5	1.4
Diversified Financials	14.1	12.1	10.5	2.6%	2.8%	3.1%	-	-	-	1.7	1.6	1.5
Insurance	13.1	12.1	11.3	4.7%	5.1%	5.4%	-	-	-	2.2	2.1	1.9
Real Estate	14.6	14.7	13.9	4.7%	4.9%	5.0%	-	-	-	0.8	0.8	0.8
IT	32.3	25.0	20.0	1.0%	1.1%	1.3%	19.3	14.7	11.7	6.2	5.6	4.8
Software and Services	24.4	21.2	18.2	1.4%	1.6%	1.8%	13.6	10.6	8.4	4.0	3.7	3.4
Technology Hardware	22.4	20.1	17.7	1.9%	1.9%	2.1%	11.7	10.7	9.5	2.9	2.8	2.6
Semicon & Semicon Equip	39.5	27.9	21.2	0.6%	0.8%	1.0%	26.4	18.9	14.9	11.3	9.3	7.4
Communication Services	16.4	14.4	13.0	3.5%	3.8%	4.1%	6.4	6.1	5.6	2.1	2.0	2.0
Utilities	16.0	14.9	13.9	4.0%	4.2%	4.4%	9.8	9.5	9.1	2.0	1.9	1.9

Source: IBES, MSCI, Datastream. As at COB 5th Aug, 2026.

Table 17: IBES Consensus P/E and 12-Month Forward Dividend Yields — Country Forecasts

Country	Index	P/E				Dividend Yield
		12mth Fwd	2026E	2027E	2028E	12mth Fwd
Austria	ATX	11.7	12.3	11.1	10.3	3.9%
Denmark	Denmark KFX	15.4	15.8	15.1	13.7	2.8%
Finland	MSCI Finland	18.3	19.5	17.5	15.8	3.2%
France	CAC 40	14.6	15.5	14.0	12.8	3.4%
Germany	DAX	15.4	17.0	14.6	12.8	3.0%
Greece	MSCI Greece	19.1	20.7	18.1	16.5	2.8%
Ireland	MSCI Ireland	13.2	14.2	12.6	11.1	3.4%
Italy	MSCI Italy	13.1	13.9	12.6	11.4	4.6%
Netherlands	AEX	16.0	17.0	15.3	13.4	2.2%
Norway	MSCI Norway	11.5	10.9	12.0	11.8	5.6%
Portugal	MSCI Portugal	13.7	13.8	13.7	13.0	3.9%
Spain	IBEX 35	14.4	15.4	13.8	12.6	3.8%
Sweden	OMX	17.9	18.8	17.4	15.9	3.2%
Switzerland	SMI	18.0	19.0	17.3	15.7	3.0%
United Kingdom	FTSE 100	12.8	13.3	12.4	11.4	3.6%
EMU	MSCI EMU	15.2	16.4	14.5	12.9	3.1%
Europe ex UK	MSCI Europe ex UK	16.2	17.4	15.5	13.9	3.1%
Europe	MSCI Europe	15.4	16.3	14.8	13.3	3.2%
United States	S&P 500	20.3	22.7	19.5	17.0	1.1%
Japan	Topix	16.3	16.9	15.1	13.6	2.2%
Emerging Market	MSCI EM	9.9	11.2	9.7	8.1	2.4%
Global	MSCI AC World	16.6	18.4	16.4	14.0	1.7%

Source: IBES, MSCI, Datastream. As at COB 5th Aug, 2026; **Japan refers to the period from March in the year stated to March in the following year-P/E post goodwill.

Economic, Interest Rate and Exchange Rate Outlook

Table 18: Economic Outlook in Summary

	Real GDP % oya			Real GDP						Consumer prices % oya			
	2025	2026E	2027E	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.0	2.0	2.1	1.5	1.7	1.7	2.3	2.3	2.7	3.8	3.6	1.9
Eurozone	1.3	0.9	1.4	0.0	1.8	1.3	1.5	1.5	1.5	2.1	3.0	3.1	2.0
United Kingdom	1.3	1.2	1.2	2.5	1.5	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
Japan	1.1	0.8	1.0	1.8	1.3	1.0	1.3	1.0	0.7	2.7	1.5	2.9	3.5
Emerging markets	4.2	4.0	3.8	4.7	3.2	3.7	4.0	4.0	3.9	2.8	3.5	3.6	3.0
Global	2.8	2.5	2.6	2.7	2.3	2.4	2.6	2.7	2.7	2.7	3.4	3.4	2.5

Source: J.P. Morgan Economic Research estimates, as of 31st Jul, 2026

Table 19: Official Rates Outlook

	Official interest rate	Current	Last change (bp)	Forecast next change (bp)	Forecast for			
					Sep 26	Dec 26	Mar 27	Jun 27
United States	Federal funds rate	3.75	10 Dec 25 (-25bp)	Dec 26 (+25bp)	3.75	4.00	4.00	4.00
Eurozone	Depo rate	2.25	11 Jun 26 (+25bp)	Sep 26 (+25bp)	2.50	2.50	2.50	2.50
United Kingdom	Bank Rate	3.75	18 Dec 25 (-25bp)	Nov 26 (+25bp)	3.75	4.00	4.00	3.75
Japan	Pol rate IOER	1.00	16 Jun 26 (+25bp)	Oct 26 (+25bp)	1.00	1.25	1.25	1.50

Source: J.P. Morgan estimates, Datastream, as of 31st Jul, 2026

Table 20: 10-Year Government Bond Yield Forecasts

10 Yr Govt BY	Forecast for end of				
	6-Aug-26	Sep 26	Dec 26	Mar 27	Jun 27
US	4.62	4.80	4.85	4.85	4.85
Euro Area	3.11	2.95	2.90	2.85	2.80
United Kingdom	4.90	2.80	2.80	4.75	4.70
Japan	2.79	2.95	2.95	2.95	3.05

Source: J.P. Morgan estimates, Datastream, forecasts as of 31st Jul, 2026

Table 21: FX forecasts

Exchange rates vs US\$	Forecast for end of				
	5-Aug-26	Sep 26	Dec 26	Mar 27	Jun 27
EUR	1.16	1.14	1.13	1.12	1.10
GBP	1.35	1.31	1.28	1.29	1.28
CHF	0.81	0.81	0.81	0.82	0.84
JPY	158	160	164	164	164
DXY	99.7	100.9	102.2	102.7	104.0

Source: J.P. Morgan estimates, Datastream, forecasts as of 31st Jul, 2026

Sector, Regional and Asset Class Allocations

Table 22: J.P. Morgan Equity Strategy — European Sector Allocation

		MSCI Europe Weights	Allocation	Deviation	Recommendation
Energy		5.0%	4.0%	-1.0%	UW
Materials		5.6%	8.0%	2.4%	OW
	Chemicals				N
	Construction Materials				OW
	Metals & Mining				OW
Industrials		19.2%	21.0%	1.8%	OW
	Capital Goods				OW
	Transport				N
	Business Services				N
Consumer Discretionary		5.2%	8.0%	2.8%	OW
	Automobile				N
	Consumer Durables				OW
	Consumer Svcs				N
	Specialty Retail				N
	Internet Retail				N
Consumer Staples		8.5%	7.0%	-1.5%	UW
	Food & Drug Retailing				UW
	Beverages				UW
	Food & Tobacco				UW
	Household Products				UW
Healthcare		12.9%	12.0%	-0.9%	N
Financials		23.8%	22.0%	-1.8%	N
	Banks				N
	Insurance				UW
Real Estate		0.7%	1.0%	0.3%	N
Information Technology		9.4%	7.0%	-2.4%	N
	Software and Services				UW
	Technology Hardware				N
	Semicon & Semicon Equip				OW
Communication Services		4.8%	4.0%	-0.8%	N
	Telecommunication Services				N
	Media				UW
Utilities		5.0%	6.0%	1.0%	N
		100.0%	100.0%	0.0%	Balanced

Source: MSCI, Datastream, J.P. Morgan.

Table 23: J.P. Morgan Equity Strategy — Global Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
EM	11.8%	14.0%	2.2%	Overweight
DM	88.2%	86.0%	-2.2%	Underweight
US	72.7%	73.0%	0.3%	Neutral
Japan	5.7%	6.0%	0.3%	Neutral
Eurozone	8.8%	11.0%	2.2%	Overweight
UK	3.6%	3.0%	-0.6%	Neutral
Others*	9.1%	7.0%	-2.1%	Underweight
	100.0%	100.0%	0.0%	Balanced

Source: MSCI, J.P. Morgan *Other includes Denmark, Switzerland, Australia, Canada, Hong Kong SAR, Sweden, Singapore, New Zealand, Israel and Norway

Table 24: J.P. Morgan Equity Strategy — European Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
Eurozone	54.1%	58.0%	3.9%	Overweight
United Kingdom	22.5%	21.0%	-1.5%	Neutral
Others**	23.4%	21.0%	-2.4%	Underweight
	100.0%			Balanced

Source: MSCI, J.P. Morgan **Other includes Denmark, Switzerland, Sweden and Norway

Table 25: J.P. Morgan Equity Strategy — Asset Class Allocation

	Benchmark weighting	Allocation	Deviation	Recommendation
Equities	60%	65%	5%	Overweight
Bonds	30%	30%	0%	Neutral
Cash	10%	5%	-5%	Underweight
	100%	100%	0%	Balanced

Source: MSCI, J.P. Morgan

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